



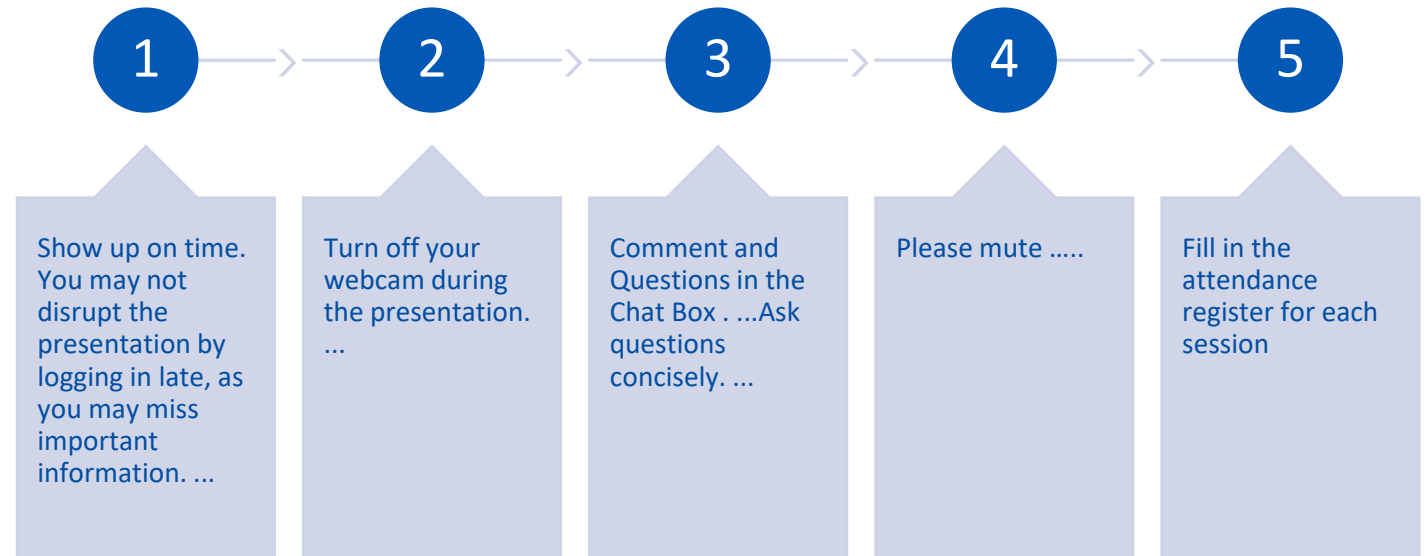
WELCOME

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YOUR VIRTUAL MEETING TIPS





INTERNATIONAL BUSINESS AND ECONOMICS

Facilitators: Dr Renee Horne

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- Business enterprises cannot function in isolation.
- Open systems interact with their environment.
- Society and business enterprises are mutually dependent.
 - Business enterprises satisfy societal needs
- Relationship between society and business enterprises takes place in a changing environment.



The Eads Bridge is a combined road and railway bridge over the Mississippi River at St. Louis.

UNDERSTANDING YOUR ENVIRONMENT.....

Winning over a sceptical audience that the bridge was not sturdy for humans, John Robinson in June 1874, highlighted the sturdiness by allowing a fully-grown elephant to cross its length, thus demonstrating its suitability for heavy traffic.





Why Study International Business (IB)? (1 of 2)

- *Facilitator of the global economy and interconnectedness.* IB brings nations closer together.
- *Contributor to national economic well-being.* IB fuels economic growth and rising living standards.
- *A competitive advantage for the firm.* IB provides companies with many benefits, leading to profitability and competitive advantages.

Why Study International Business? (2 of 2)



A competitive advantage for you. Working internationally offers a range of enlightening experiences, new knowledge, and other benefits that enhance careers....and it's exciting!

An opportunity to support ethics, sustainability and corporate citizenship. Firms must be ethical and socially responsible in their dealings because I B affects numerous constituents, often in unintended ways.

- **HOW HAS YOUR FIRM ADJUSTED TO ITS ENVIRONMENT OVER THE YEARS**



LIVE SESSION SCHEDULE

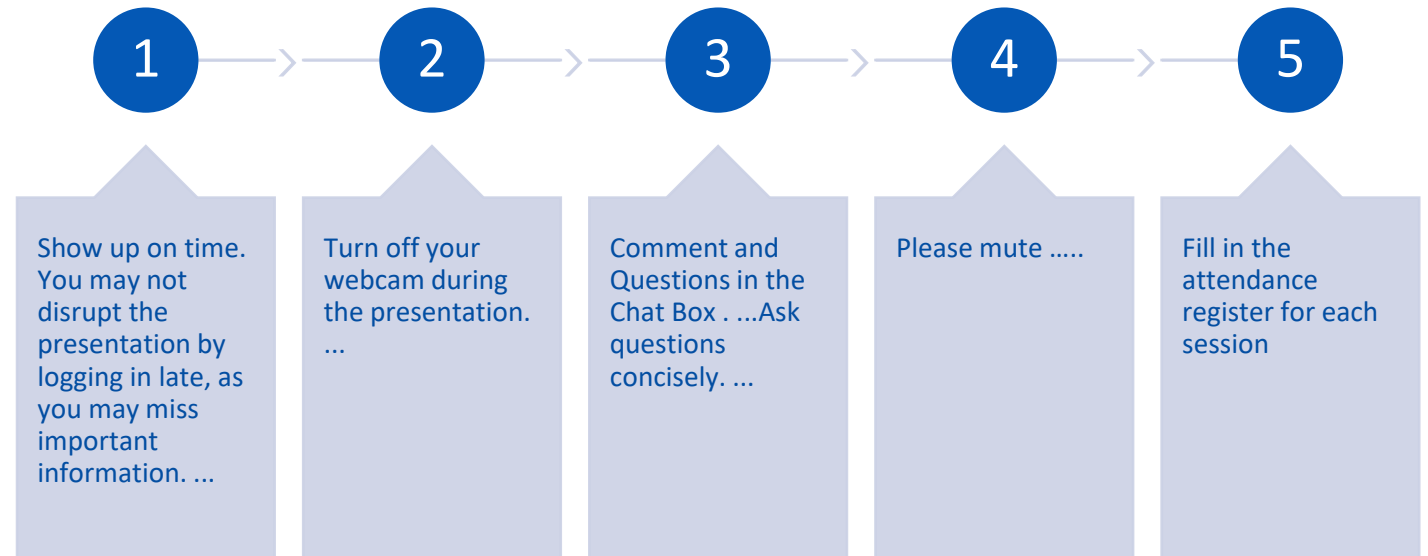
Session slides will be released before class. You can find the slides on Ulwazi under Modules

Unit	Week	Date	Time	Topics
0	0	-	-	Module 0: Discussion -- Ask the Facilitator" discussion forum on Canvas
1	1	31 August 2026	18h00-20h00	The firm's business activity: internal and external variables
2	2	7 September 2026	18h00-20h00	Globalisation of Markets (Guest Speaker: Ms Thuso Mafumo)
3	3	14 September 2026	18h00-20h00	The Global Financial System
4	4	21 September 2026	18h00-20h00	The environment of International Business: Culture, Ethics, Corporate Social Responsibility
5	5	28 September 2026	18h00-20h00	The Environment of International Business: Theories of International Trade (Guest Speaker: Mr Gary Joseph)
6	6	5 October 2026	18h00-19h30	Government Intervention
7	7	5 October 2026	19h30-20h00	Revision & Examination

Assessments and housekeeping

Assessment	Weighting (%)	Date	Mark Return Date
Quizzes (there will be 2 quizzes between weeks 1-7)	15%	QUIZ 1 – 11 September 2026 Window 17h30- 20h30 30 Minutes timed Quiz QUIZ 2- 8 October 2026 17h30- 20h30 45 Minutes timed Quiz	The marks will be provided a week after QUIZ.
Problem - Solving Tasks (One Individual Assessment)	13%	25 September 2026 17h30- 23h30 Timed (45 minutes)	The marks will be available at the end of the module.
Attend Live Session	2% (0.4x5)	Live sessions will require mandatory attendance of at least 5 of the 7 sessions	The marks will be available at the end of the module.
Syndicate assignment	30%	30 September 2026	The marks will be available at the end of the module.
Examination	40%	12 October 2026	Subject to all exam committee checks

YOUR VIRTUAL MEETING TIPS





UNIT 1

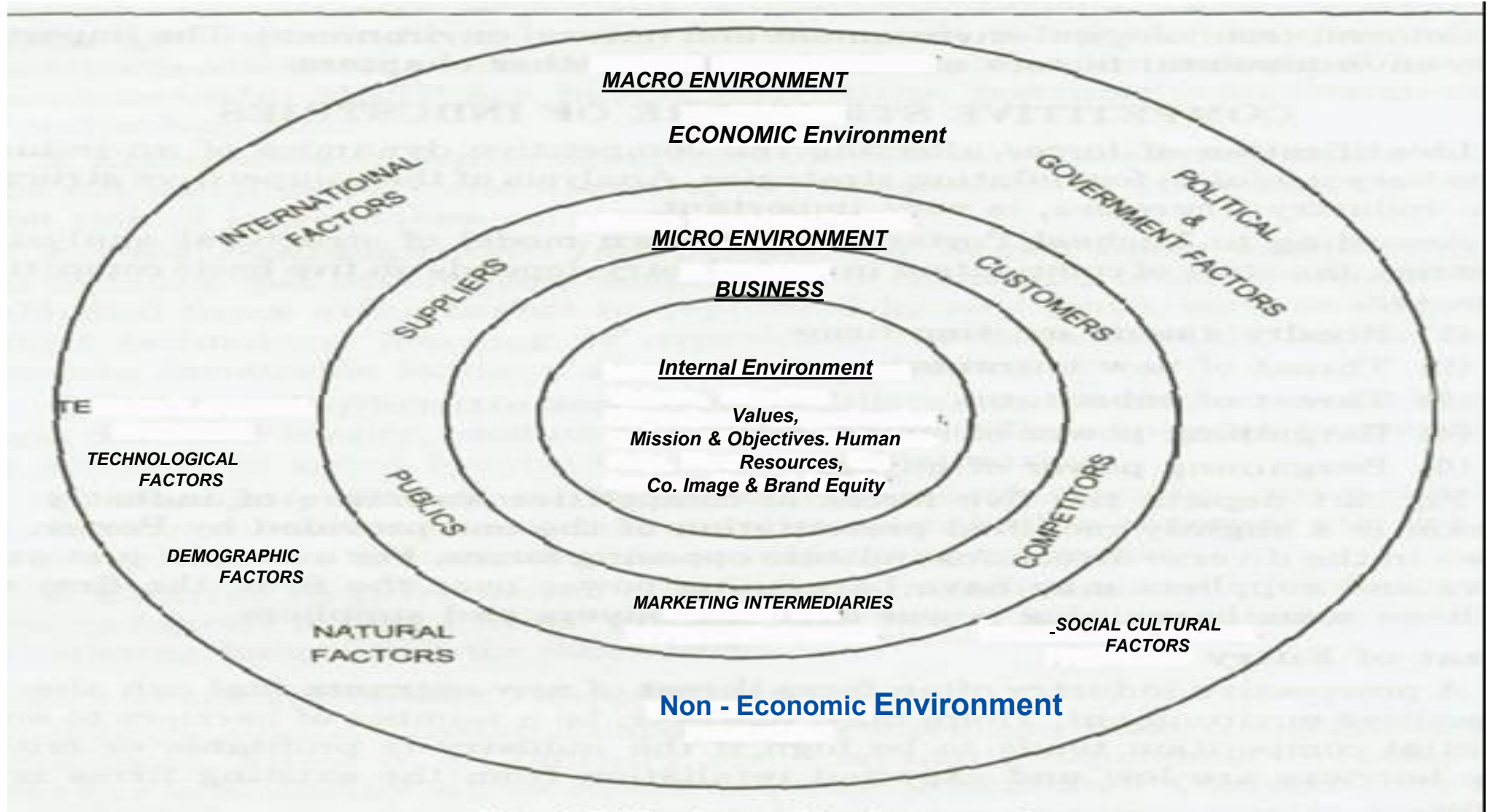
1. Identify the basic features linked to business activity. (MO1)
2. Analyse the difference between international and domestic business. (MO1)
3. Identify major stakeholders in international business. (MO1)
4. Describe why firms internationalize (MO1).



The word Business in its economic sense means activities like production, extraction or purchase or sales of goods that are performed for earning profits.

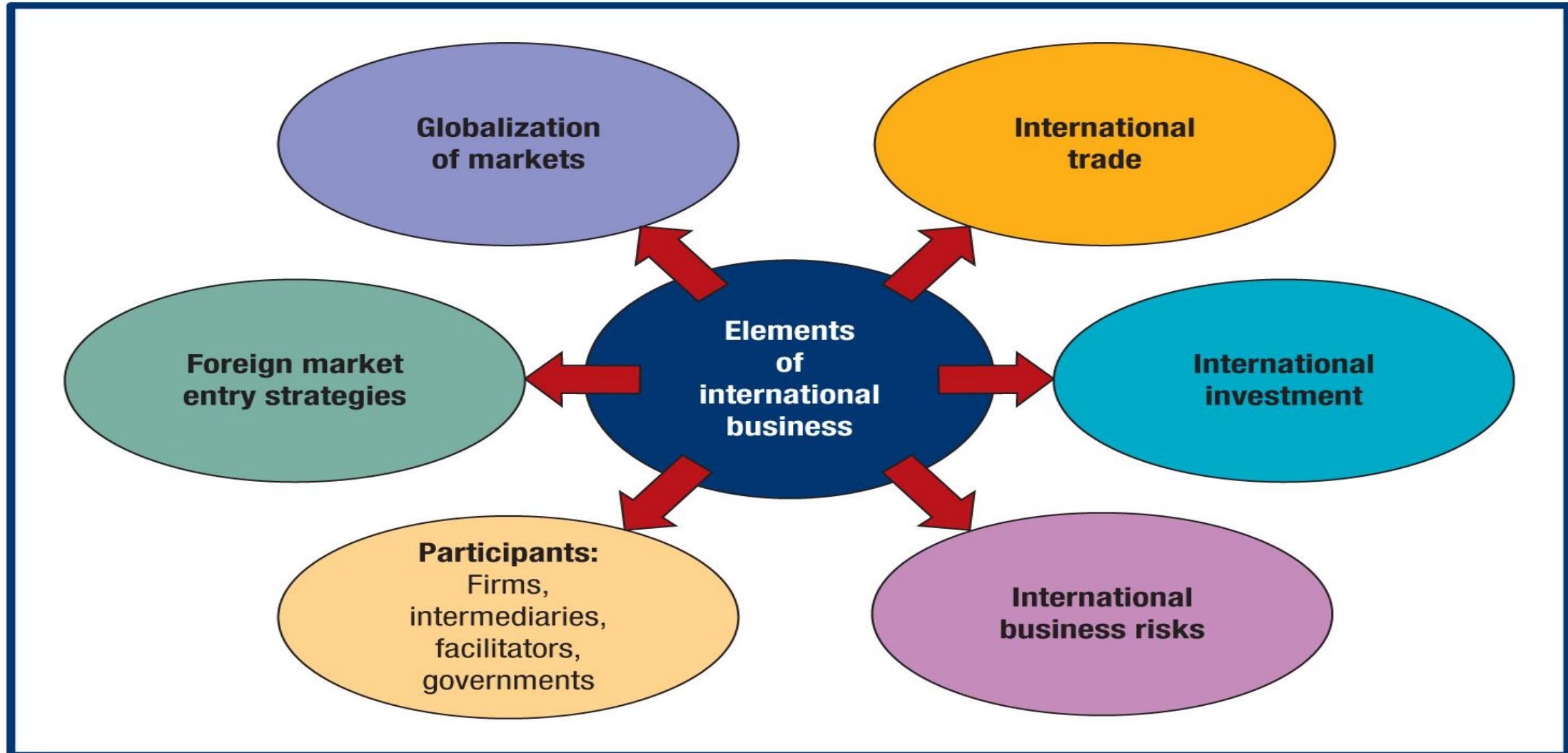
- Different environmental variables exist internally and externally to the business enterprise
- Environmental variables have a positive or negative influence on your business
- Business environment consists of two sub-environments:
 - Internal (micro) environment
 - External environment (macro dimension/environment)
 - Market environment
 - Macro environment
- Mutual relationships exist between these environments

Overview of the Business Environment



- All value-adding activities-including sourcing, manufacturing, and marketing-can be performed in international locations.
- International trade can involve products, services, capital, technology, know-how, and labor.
- Firms internationalize through various entry strategies, such as exporting and foreign direct investment.

Dimensions of International Business



- Unprecedented growth of international trade. In 1960, global trade was \$300 billion per year. Today, world exports amount to some \$16 trillion annually!
- Trade between nations, accompanied by substantial flows of capital, technology, and knowledge.
- Development of sophisticated global financial systems and mechanisms that facilitate the cross-border flow of products, money, technology, and knowledge.
- Greater collaboration among nations through multilateral regulatory agencies such as the World Trade Organization ([WTO](#)) and the International Monetary Fund ([IMF](#)).

International investment: Transfer of assets to another country or the acquisition of assets in that country. Also known as “foreign direct investment” (FDI), we will focus on this type of investment.



International portfolio investment: Passive ownership of foreign securities such as stocks and bonds, in order to generate financial returns.

Service Industries That are Rapidly Internationalizing

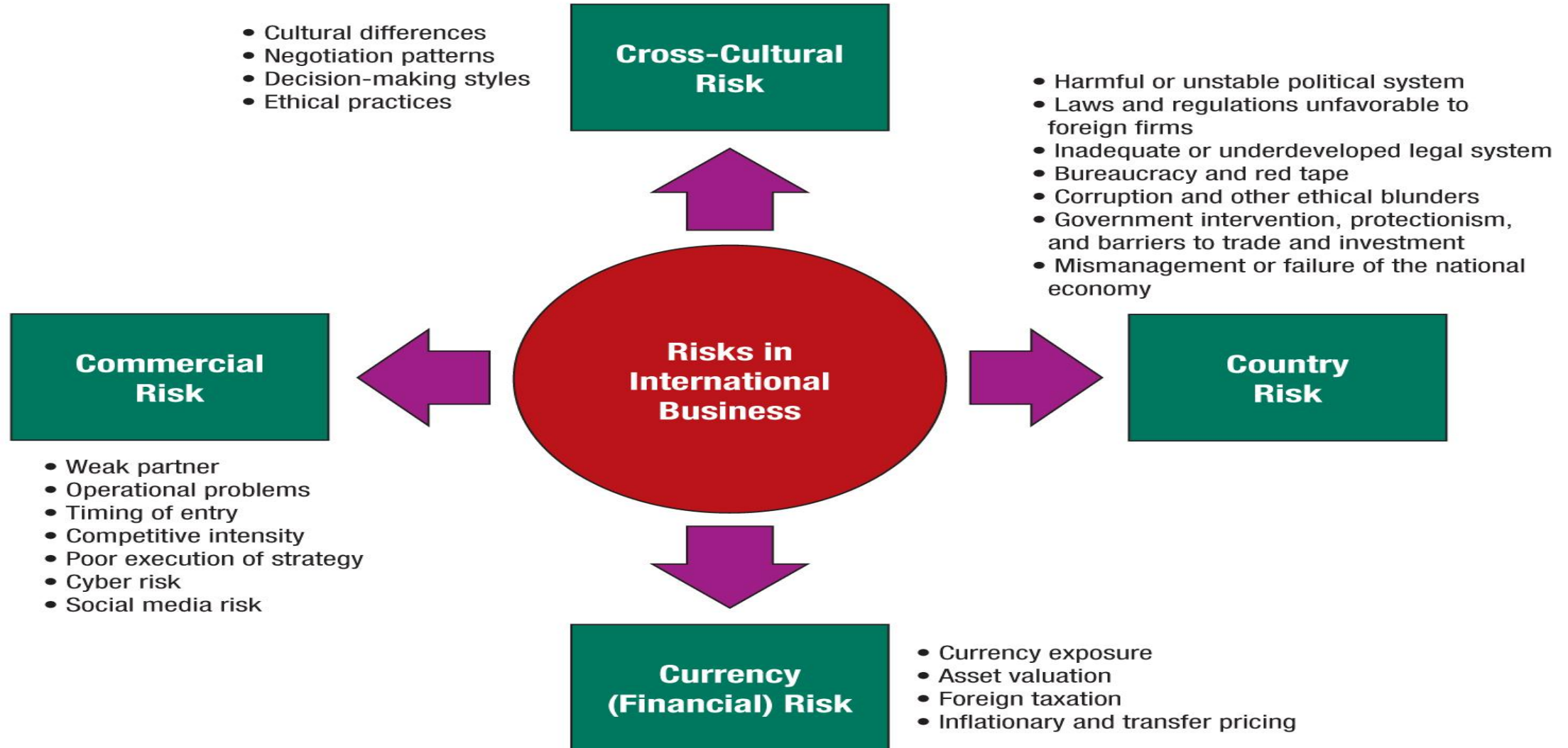
Industry	Representative Activities	Representative Companies
Architectural, construction, and engineering	Construction, power utilities, design, engineering services, for airports, hospitals, dams	A B , Bechtel Group, Halliburton, Kajima, Philip Holzman, Skanska A B
Banking, finance, and insurance	Banks, insurance, risk evaluation, management	Bank of America, C I G N A, Barclays, H S B C, Ernst & young
Education, training, and publishing	Management training, technical training, language training	Berlitz, Kumon Math & Reading Centers, N O V A, Pearson, Elsevier
Entertainment	Movies, recorded music, Internet- based entertainment	Time Warner, Sony, Virgin, M G M
Information services	E-commerce, e-mail, funds transfer, data interchange, data processing, computer services	Infosys, E D I, Hitachi, Qualcomm, Cisco
Professional business services	Accounting, advertising, legal, management consulting	Leo Burnett, EYLaw, McKinsey, A. T. Kearney, Booz Allen Hamilton
Transportation	Aviation, ocean shipping, railroads, trucking, airports	Maersk, Santa Fe, Port Authority of New Jersey, S N C F (French railroads)
Travel and tourism	Transportation, lodging, food and beverage, aircraft travel, ocean carriers, railways	Carlson Wagonlit, Marriott, British Airways



International and Domestic Business: How They Differ

- International business....
 - is conducted across national borders.
 - uses distinctive business methods.
 - is in contact with countries that differ in terms of culture, language, political system, legal system, economic situation, infrastructure, and other factors.
- Stated differently, when they venture abroad, firms encounter four major types of risk.

The Four Risks of International Business



- Always present but manageable.
- Managers need to understand, anticipate, and take proactive action to reduce their effects.
- Some risks are extremely challenging.

Example

- The global financial crisis generated many commercial, currency, and country risks, affecting banks and other firms worldwide. This led to steep declines in national stock markets and normal business activity.

Who Participates in International Business?

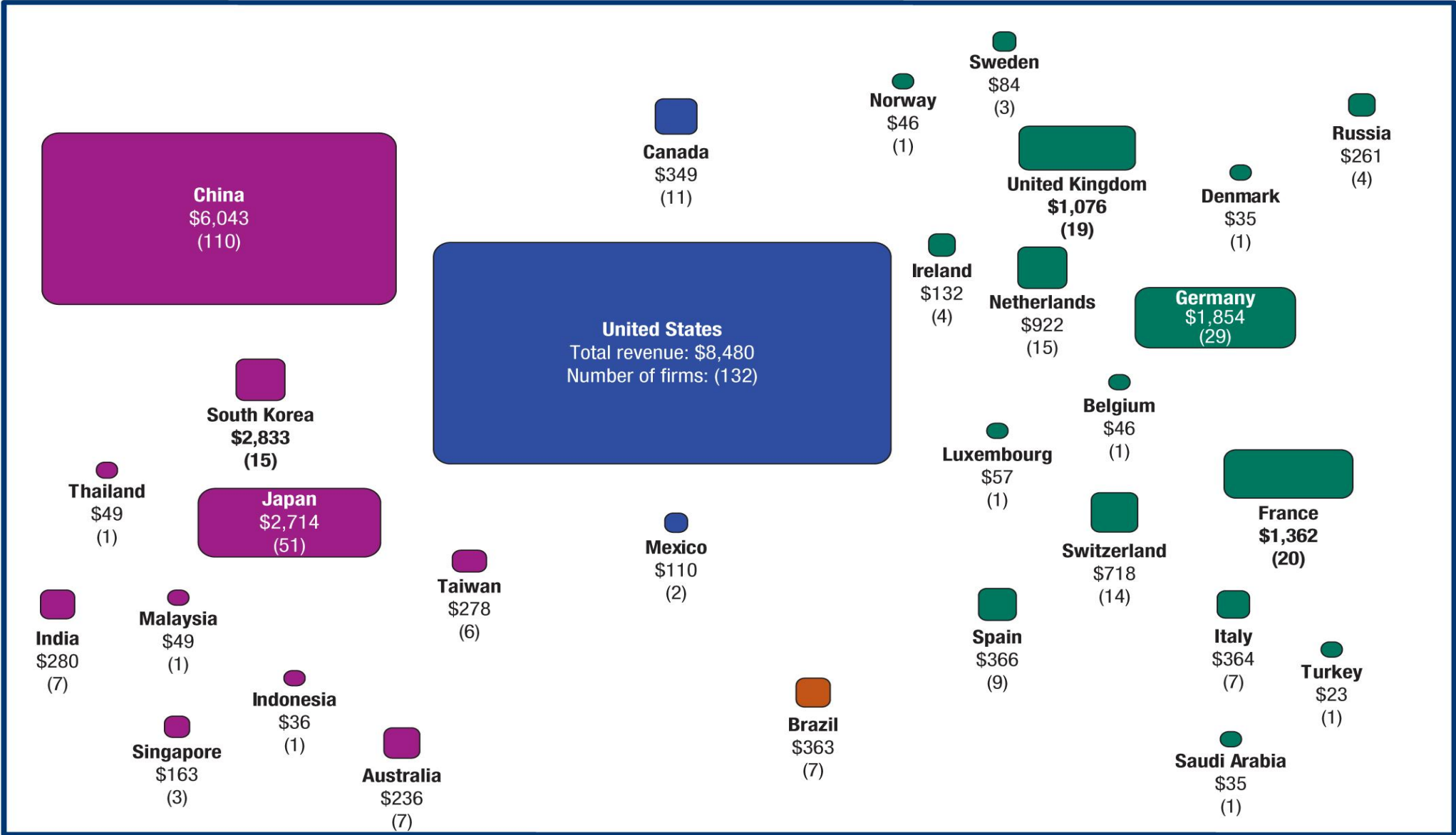
Multinational enterprise (M N E): A large company with substantial resources that performs various business activities through a network of subsidiaries and affiliates located in multiple countries (e.g., Caterpillar, Samsung, Unilever, Vodafone, Disney).

Small and medium-sized enterprise (S M E): Typically, companies with 500 or fewer employees, comprising over 90% of all firms in most countries. S M E s increasingly engage in international business.

Born global firm: A young, entrepreneurial S M E that undertakes substantial international business at or near its founding.



Geographic Locations of the 500 Largest Multinational Enterprises



Sources: Scott Decarlo, "Global 500," Fortune (2017), pp. 18-19; Fortune, "Global 500," Special Section, July 21, 2014, pp. F1-F8. Note: The exhibit shows country name, total revenues of Global 500 firms in U.S. dollars, and total number of Global 500 firms.

- **Non-governmental organizations:** Many of these non-profit organizations conduct cross-border activities. They pursue special causes and serve as advocates for social issues, education, politics, and research.

Examples

- The Bill and Melinda Gates Foundation and the British Wellcome Trust both support health and educational initiatives.
- CARE is an international non-profit organization dedicated to reducing poverty.

Non-governmental Organizations



- The British Wellcome Trust funds nongovernmental organizations (N G O s) and research initiatives to work in collaboration with private businesses to develop remedies for diseases in Africa and other less developed areas.

Why Do Firms Internationalise?



- *Seek opportunities for growth through market diversification.* E.g., Harley-Davidson, I K E A, H & M.
- *Earn higher margins and profits.* Often, foreign markets are more profitable.'
- *Gain new ideas about products, services, and business methods.* E.g., GM refined its knowledge for making small, fuel-efficient cars in Europe.

Why Do Firms Participate in IB?

Serve key customers that have relocated abroad. E.g., When Toyota launched its operations in Britain, many of its suppliers followed suit.

- *Be closer to supply sources, benefit from global sourcing advantages, or gain flexibility in the sourcing of products.* E.g., Apple sources parts and components from the best suppliers worldwide.



Why Do Firms Participate in IB?

- *Gain access to lower-cost or better-value factors of production.* E.g., Sony does much manufacturing in China.
- *Develop economies of scale in sourcing, production, marketing, and R&D.* E.g., Airbus lowers its overall costs by sourcing, manufacturing, and selling aircraft worldwide.

Why Do Firms Participate in IB?

- *Confront international competitors more effectively or thwart the growth of competition in the home market.* Chinese appliance maker Haier established operations in the United States, partly to gain competitive knowledge about Whirlpool, its chief US rivals.
- *Invest in a potentially rewarding relationship with a foreign partner.* French computer firm Groupe Bull partnered with Toshiba in Japan to gain insights for developing information technology.

IB Contributes to National Economic Well-being



A popular shopping street in Beijing, China

Assessment One : Format and Scope

Assessment Access and Timing

- **Location:** Access Assessment One under the **Assignments** tab on the learning platform.
- **Availability Window:** The assessment window opens on **11 September at 17:30** and closes strictly at **20:30**.
- **Time Limit:** Once you begin, you will have a strict **30-minute** time limit to complete the assessment.
- **Extensions:** No time extensions will be granted. Please ensure a stable connection and manage your time effectively.

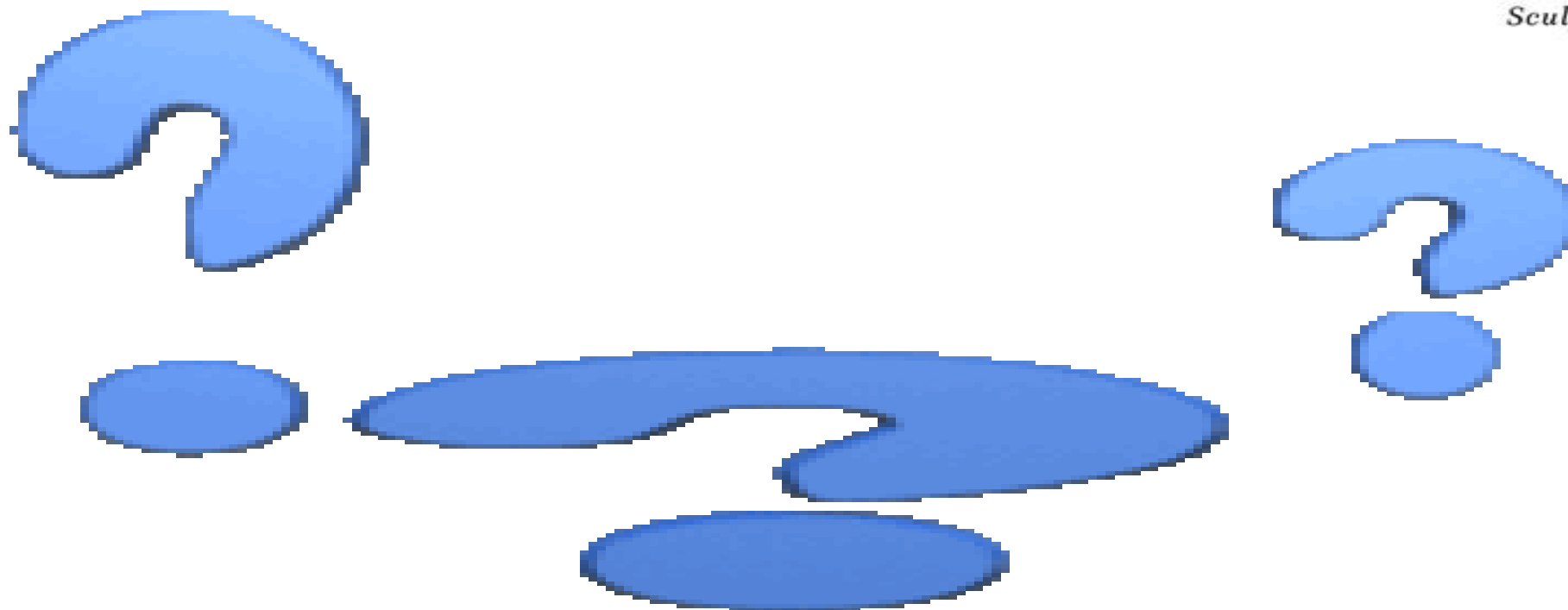
Format and Scope

- **Content Coverage:** The assessment tests material covered in **Session 1 and Session 2**.
- **Structure:** The quiz consists of **10 questions**, which will be a combination of Multiple Choice and True/False formats.
- **Weighting:** The assessment contributes **5% to your final mark** (0.5 marks per question).
- **Execution:** Please read each question carefully before finalizing your answer.

Academic Integrity

- **Randomized Questioning:** The assessment is dynamically generated. You will receive a different set of questions compared to your peers.
- **Misconduct:** Plagiarism, collaborating, or sharing questions with other students constitutes a serious academic offense and will be subject to disciplinary action.





Cavusgil, S. T., Knight, G., & Riesenberger, J. (2026). International business: The new realities. global ed.6th edition, Pearson, United Kingdom (Chapter 1 and Slides)



Thank you